

The labor market is a way of allocating human resources, distributing jobs to the workers, and providing employers with the people they need to conduct their business. In an ideal world, with a perfect labor market, both sides would benefit. But in practice, neither labor nor jobs are perfectly distributed. Some countries have a large unskilled workforce with not enough jobs to go around, and a lack of workers with the necessary skills to fill other vacancies. In this case, employers may have to pay out more to train workers. In some rich countries, there is the opposite problem, where the workforce is highly skilled, and there are not enough skilled job vacancies. Skilled workers may then have to consider taking lower-paid, unskilled work.

**ECONOMICS IS EXTREMELY
USEFUL AS A FORM OF EMPLOYMENT
FOR ECONOMISTS.**

JOHN KENNETH GALBRAITH

Out of work

Another result of the uneven distribution of jobs and workers, which has many causes, is unemployment. Some jobs are seasonal, for example, in the tourist industry, and workers may lose their jobs during slack periods. Or it may be due to overproduction, when a business has a surplus of goods and no longer needs workers to produce them—or when there is a fall in demand for goods, such as television sets or calculators that become outdated.

Mechanization in many industries also puts people out of work. At any one time, there are a number of people who are able and willing to work, but can't find a job. The unemployment rates—the percentage of the working age population out of work—varies, and is seen as an indication of a country's economic prosperity. But these rates give only an overall picture, indicating